	Bank A/c	Dr.		12,00,000	
	To Equity share first and final call A/c				12,00,000
	(Call money received)				

Illustration 16

Keerthiga Company issued equity shares of ₹ 10 each at 10% premium, payable ₹ 2 on application, ₹ 3 on allotment (including premium), ₹ 3 on first call and ₹ 3 on second and final call.
Journalise the transactions relating to forfeiture of shares for the following situations:

(i) Mohan who holds 50 shares failed to pay the second and final call and his shares were forfeited.

(ii) Mohan who holds 50 shares failed to pay the allotment money, first call and second and final call money and his shares were forfeited.

(iii) Mohan who holds 50 shares failed to pay the allotment money and first call and his shares were forfeited after the first call.

Solution

In the books of Keerthiga Company
Journal entries

(i) When final call money is not paid

Date	Particulars			L.F.	Debit ₹	Credit ₹
	Equity share capital A/c	(50 × 10)	Dr.		500	
	To Equity share second and final call A/c	(50 × 3)				150
	To Forfeited shares A/c	(50 × 7)				350
	(50 shares forfeited)					

Note: Since the premium amount is received by the company, premium should not be cancelled.

(ii) When allotment, first call money and second and final call money is not paid

Date	Particulars			L.F.	Debit ₹	Credit ₹
	Share capital A/c	(50 × 10)	Dr.		500	
	Securities premium A/c	(50 × 1)	Dr.		50	
	To Share allotment A/c	(50 × 3)				150
	To Share first call A/c	(50 × 3)				150
	To Share second and final call A/c	(50 × 3)				150
	To Shares forfeited A/c	(50 × 2)				100
	(50 shares forfeited)					

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